

In bear markets, those near the yearly low do best (a bottom-fishing play: buy low, sell high) and those near the yearly high do worst.

[Table 43.5](#) shows pattern size statistics. Because we know the horn is a 3-week pattern, there is no width to consider and no combination of height and width to ponder. That simplifies things.

Height. Tall patterns perform better than short ones, as the table shows.

Tall means the difference between the highest high and lowest low in the three-bar pattern (weekly scale), divided by the highest high (the breakout price). Horns taller than the median saw price climb more than did those shorter than the median.

[Table 43.6](#) shows volume-related statistics. Remember, we're dealing with a 3-bar pattern.

Volume trend. I used linear regression to find the slope of the volume trend from the left horn spike to the right one. Let's discuss performance in bull markets. You can see the results for bear markets if you're so inclined.

Rising/Falling volume. Horns with falling volume performed substantially better than did those with rising volume.

Breakout day volume. I computed the 1-month average volume and compared it to the breakout for each stock. Patterns with heavy breakout volume performed substantially better than did those with light breakout volume.

[Table 43.7](#) shows how often price reached a stop location. I'm not sure if dividing the pattern in half makes sense for horns. They tend to be short anyway. If you feel the need to hold your nose while I discuss the statistics, that's fine. I won't take offense.

If you place a stop-loss order at the top of the horn (the tallest of the three bars), price will hit the stop between 67% and 74% of the time. You might ask yourself why it's so low. (I expected something like 90% or 95% when I started calculating this for other chart patterns. I thought I'd made a mistake.) That's because price shoots up and tags the ultimate high, then retraces. That retrace may snag the stop. However, my computer stops looking after price reaches the ultimate high.